DIGIKORE
STUDIOS

June 09, 2025
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To,
The Manager,
National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051

NSE Symbol: DIGIKORE
ISIN: INE0QJ901011

Subject: Transcript of Analysts/ Investors Earnings Conference Call for the Half year and year ended March 31, 2025, held on 4th June 2025, pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the Transcript of analysts / investors Earning Conference Call conducted on 04th June 2025 at 02:00 PM to discuss the Company's performance for the Half year and year ended 31st March 2025.

You are requested to kindly take the same on record.

Thanking you.

Yours faithfully,
For Digikore Studios Limited

Heny Pahuja
Digitally signed by Heny Pahuja
Date: 2025.06.09 17:40:42 +05'30'

Heny Pahuja
Company Secretary& Compliance Officer

"Digikore Studios Limited Q1 FY-25 Earnings Conference Call"

June 04, 2025

MANAGEMENT:	**MR. ABHISHEK MORE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER, DIGIKORE STUDIOS LIMITED** **MR. KETAN MORE – INTERIM CHIEF FINANCIAL OFFICER, DIGIKORE STUDIOS LIMITED** **MR. RAKESH – HEAD OF FINANCE, DIGIKORE STUDIOS LIMITED** **MRS. HENY PAHUJA – COMPANY SECRETARY AND COMPLIANCE OFFICER.**
MODERATOR:	**MS. CHANDNI CHANDE – KIRIN ADVISORS**

Moderator: Ladies and gentlemen, good day and welcome to Digikore Studios Limited FY '25 Earnings Conference Call, hosted by Kirin Advisors.

As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Chandni Chande from Kirin Advisors. Thank you and over to you ma'am.

Chandni Chande: Thank you. On the behalf of Kirin Advisors, I welcome you all to the conference call of Digikore Studios Limited. From Management team, we have Mr. Abhishek More – Managing Director and CEO; Mr. Ketan – Interim CFO; Mr. Rakesh – Head of Finance; and Mrs. Heny Pahuja – Company Secretary and Compliance Officer.

Now I hand over the call to Mr. Abhishek More for opening remarks. Over to you, sir.

Abhishek More: Thank you. Good afternoon, everyone. And on behalf of the entire Management team at Digikore Studios Limited, I extend a warm welcome to all our investors, analysts and stakeholders joining us today. Thank you for your continued support and belief in our journey.

Let me begin by addressing the broader industry environment that significantly shaped the year gone by. So the VFX industry, particularly in Hollywood, as we know, faced an unprecedented slowdown due to the writer's strike and actor's strike that disrupted productions for close to 12 months. And obviously, this led to widespread delays in content creation, postponed projects, and it created a ripple effect across VFX studios worldwide, which impacted us as well.

Like most VFX studios, Digikore's execution pipeline and financial performance were directly impacted by these external uncontrollable circumstances. As a result, FY '25, and particularly the second half, reflects the aftershocks of this prolonged disruption. However, we are already seeing clear signs of recovery. Work has resumed, and the industry is witnessing a strong revival.

Major studios now actively pushing forward delayed projects, and we are well positioned to support this rebound. In fact, as on today, we have a confirmed order book of INR 16 crores, which is fantastic to see after literally 12 months of disaster in the industry. And the beauty of this is that INR 7 crores of this is direct projects from CBS, Hulu, Netflix. So our efforts in trying to move and shift our revenue mix from outsource work to direct is already showing the fruits right now. This is obviously an encouraging sign, and it takes us closer to our long-term goals of moving towards higher margin and direct client work.

At present, we also have over INR 8 crores worth of projects in the bidding stage, that means in the quote stage, for which our quotations have gone to clients. And several of our large outsource clients have already reached out to us to prepare for capacity increase from July-August this year. These are all great healthy signs of the industry coming back to pre-strike levels, which would be business as usual for most VFX companies and in a growing market.

What has also happened in the last 12 months is that several VFX studios across the world have either scaled down substantially or shut down. As we know, Technicolor, one of the largest VFX studios in the world declared bankruptcy, Jellyfish in UK, and several more that we know of have unfortunately had to face the brunt of the strike. Thousands of people have unfortunately lost their jobs. But the silver lining on this is that people who survived will now witness an upsurge of work with lower number of competitors in the market.

Obviously, the VFX side is great, it's doing good, picking up now. But what is more important is that while we prepare for this short-term growth, we are equally focused on long-term strategic transformation. One of the biggest shifts in the global creative ecosystem is the rapid advancement of artificial intelligence in the context of content creation and automation of VFX tasks. I don't know how many of you have seen Google Veo's new model that was just released. It's unbelievable. It's going to change the content landscape forever.

As we move forward, there are going to be hardly any people involved in the entire content production process. It's going to be all AI generated in the years to come. I don't say 1 year or 2 years. It could be anywhere between 3 to 5 years where that shift will happen.

Several AI tools are in development worldwide for automating VFS tasks. Many VFX studios continue to operate with traditional models, ignoring the looming disruption of AI. Whichever VFX studio I meet, as a Tech-First VFX company, we are very open to technology. We have our eyes and ears open. We keep seeing what's happening in the industry. And what we do believe very truly is that any VFX company that continues to ignore the threat of AI, they will have to shut shop in less than 24 months.

Nuke, which is a foundry software, which is the main software in VFX, where we are already seeing them release an AI model. Now if Nuke releases an AI model, a job where you needed 50 artists to do something, 5 would do that. So while it will impact VFX studios to some extent, but the major impact, unfortunately, will be in the manpower, because a lot of people will lose jobs due to AI coming up in VFX.

But at Digikore, we have taken a radically different path for this. We are working alongside 3 international companies that are automating VFX tasks, which will protect us from this disruption, obviously. So we are creating tools that will use AI to automate tasks like rotoscopy, cleanups, camera tracking, matchmove, compositing. These are very easy tasks to automate in AI, and there are companies already doing it. And we ourselves as a company are taking active steps to be ahead of the curve, rather than behind the curve.

Obviously, we all know history offers us clear lessons about the cost of ignoring technology shifts. We have seen how Kodak, once the pioneers in photography, failed to adapt to digital revolution in where they are today. Nokia ignored smartphone revolution, you know what happened to them. Blockbuster, Netflix's biggest competitor once, and the biggest company in video rentals along with Netflix, they didn't see streaming coming, and they disrupted. So we don't want to ignore history. We understand the threat of technology. We work closely in that, and we want to embrace it rather than resist it.

So we are also transitioning from being a pure play service provider to becoming a Media Tech hybrid company. This means blending the reliability and scale of a service-driven business with innovation and IP generation capabilities of a modern tech enterprise. So obviously to that end, we have built a dedicated in-house AI team that's developing proprietary AI SaaS products and infusing AI into our internal VFX workflows to boost efficiency and scalability.

We recently created a tool in-house in AI, which actually reduced the time taken to do one of the tasks in VFX, which is a donkey work task that was being done. So assuming if we got a 200-shot job, and 5 man-days were being spent on that, now that whole is done in 5 hours. So we are actually using it to improve our productivity internally as well, which is fantastic.

So alongside this, we have also forayed into branded content production, where we own and monetize content IPs, unlocking new revenue models beyond traditional service billing.

On the branded content side, one of our IPs, recently we were actually given an acquisition proposal for that IP. So we are seeing that these IPs are going to be turning into cash cows for us in the years to come. And not only as a long-term business, but good potential to be sold as an IP by itself. And that's the beauty of creating IPs, where the inherent value in those over a longer period of time can generate substantial either slump sale revenues or long-term revenues.

So this dual track strategy of strengthening our core, which is our VFX business, and building the future, ensures Digikore is not only resilient in the face of disruption, but well positioned to lead the new next chapter of growth in the Media Tech space.

So while FY '25 was affected by extraordinary industry headwinds, it is important to recognize that this was not a reflection of internal performance or strategic missteps, but a global external shock that impacted nearly every VFX player. And the rebound is now clearly underway and our forward-looking investments gaining traction. We enter FY '26 with strong momentum, greater diversity in revenue streams, and a long-term vision that aligns with the future of content creation.

Thank you once again for being here and I am going to now open the floor to your questions.

Moderator: Thank you very much. We will now begin with the question-and-answer session. (Operator Instructions). Please note that the call is scheduled for 1 hour.

The first question is from the line of Priya Jain from Green Capital SA. Please go ahead.

Priya Jain: Hello sir. I have a few questions with me. So starting with...

Moderator: Priya, sorry to interrupt you. Can you please speak through the handset? You are sounding very distant.

Priya Jain: Okay. So seeing this AI boom, I would like to understand, can you just elaborate on how you are strategically giving importance to your AI SaaS platform, and how they are expected to continue to long-term growth?

Abhishek More: So see, currently we have launched 2 SaaS platforms. One is iMadeASong.com, and we recently launched Selfsync.ai. iMadeASong.com has already started generating revenues. Also in fact, we track on a daily basis. Selfsync was just launched literally 10 days ago. We have already started getting traction from companies.

One of them, which is iMadeASong, is a B2C product and Selfsync.ai is a B2B product. The Selfsync.ai is, in fact, we have already gotten demo requests from over 30 companies since we have launched. And if you haven't seen it, you must if you run a business. Any business that is looking at productivity and growth should definitely embrace Selfsync.ai. It's a fantastic platform.

iMadeASong, like I said, has already started generating revenues. Obviously, it's not generating crores worth of revenues. It is yet generating in the thousands per day. So we are looking at approximately a few lakhs per month. But the good thing is the traction is there. And we are talking to some people for strategic alliances on that side for both the platforms. So we are looking at these growing into substantial revenue streams, obviously, not in the next 3 to 6 months, but it's a 2 to 4 year period for these to grow into, when they can contribute substantial revenue to the company. That is at one side.

At the second side, once you create platforms like these, they become IPs that you own, which can also be monetized in terms of acquisition of being acquired as platforms by people in the industry.

Priya Jain: Good to hear, sir. Also, I just wanted to understand, like, how you have a YouTube platform and how you plan to scale and perhaps drive more revenue from there?

Abhishek More: So we are actively promoting through social media campaigns, through influencer partnerships, through strategic alliances. So we have our internal digital marketing team, which is working on all of these aspects to scale the revenue from the Selfsync and iMadeASong.

YouTube platform, Binge Fever, that is more for our internal shows that we produce, that is the branded content shows. So on that, we don't put general content. As an example, we have started filming the second season of Kaise Banta Hai. We have filmed already 10 episodes for Heroes, which will now go into the second filming.

So by the way, I must also tell you that 1 of the participants on Heroes, which is our second show, is Mr. Jeet Adani, Mr. Gautam Adani's son. He was very excited when he was participating in the show. I had the opportunity to meet up with him and interact with him. I briefed him on Digikore. He was very excited about the possibilities of the company. So we are getting interaction on our shows from some of the largest business houses.

So the OTT, YouTube platform is, as the new episodes start coming out for Kaise Banta Hai and Heroes, they will then be put up out there. And then that is more of, so organic growth that we expect on the Binge Fever platform on YouTube.

Priya Jain: Good to hear, sir. Looking forward to better numbers and all the best.

Abhishek More: Thank you.

Moderator: Thank you very much. Next question is from the line of Anmol Grover from Edwards Financial Service. Please go ahead.

Anmol Grover: Hello, sir. Good afternoon. So actually, sir, I just wanted to ask what happened in the second half gone by, because last time when we had a con-call, outlook was very strong. We had a lot of orders in hand. But the numbers have been very tapered for H2. So, just want to understand what exactly happened and from vis-a-vis the outlook that we had back then.

Abhishek More: So I will tell you what happened. So, we know that the strike happened in 2023. And so let me give you a brief on the VFX pipeline and the entire production pipeline and how a movie or a series starts. It starts with the writers. It starts with the writing first. Then it goes into pre-production. Then it goes into filming. Then it goes into editing. And then it comes to VFX.

Now, what happens is that depending on the size of the project, if it's a Marvel movie, obviously, it can take anywhere between 24 to 36 months from writing to VFX. Or if it's even the mid-budget films and shows, it can take anywhere between 9 to 12 months. And smaller projects take anywhere between 6 to 8 months from writing to VFX.

The strikes got over in November. We all, the entire industry anticipated that projects will get on floor immediately, and we will start seeing a good flow in VFX starting from July, August, or maybe September '24. Because once the projects start writing in January of 24, they take that 6, 8 months, 9 months to come into VFX.

Unfortunately, which was a shock for the industry, the OTT platforms delayed. They did not start immediately on projects. That impacted our numbers for H2, because what we anticipated the project that will start writing in January, they will come into VFX by October, November of

'24. But lot of projects which were announced also did not start, they got delayed, many projects got cancelled. We got one large VFX project.

So when you say, there are 2 stages at which we get VFX projects. One stage is when a project is announced immediately, they start attaching a VFX studio there itself for the initial pre-production work as well. And then there are projects which, when the project is filmed, completed, and edited, we get the VFX work. So there was one large project of Amazon that we also got, which was announced. And, it's yet not got into production only, it's yet stalling.

And because of this, you saw lot of companies going into shutdowns in H2, in the last 6 months, because everybody was anticipating that the work will start from August, September of '24 in full flow. Unfortunately, that we are seeing the signs now for that happening. We started seeing those projects which are supposed to come into VFX stage in August, September, October of last year, they have now started coming into VFX from February, March this year. And that is why our pipeline now is getting strong, which technically should have got strong in H2 of '25.

Anmol Grover: Okay. But sir, I have a counter question to this. So we are seeing, the other listed VFX companies have reported much better numbers than we have. So is there some sort of discrepancy here that….

Abhishek More: I actually made a joke of this to some people, because I never like to comment on other people, and I will not also. Yes, but it's surprising that, only listed companies in India are making profits in the VFX industry, nobody else is. So I tell people, if you have to make profits in VFX, at least list in India for VFX, you will get automatically get profits in India.

I don't like to comment on others. I like to see what we are doing and where we are heading. And it's not good to compare a VFX company to 3 other listed peers. But I think so you need to look at 50 other VFX companies, and then come to a conclusion on who's making money and who's not.

Anmol Grover: Okay, sir. Fair enough. So how is the pipeline looking right now? Can you give some numbers on it? And what can we expect from the numbers in FY '26, FY '27? You had given some guidances earlier.

Abhishek More: Like I just did in our opening also, as of now, we have a strong order book of around INR 16 crores, out of which around INR 7 crores are direct projects from CBS, Hulu, Netflix.

Netflix, we are working on One Piece. CBS, we have started working. In fact, I can actually not even say, when you say INR 16 crores, that is what we have. For CBS, we have started working on 2 of the Star Trek shows, and a third Star Trek show, they've already given us soft signs that we are going to get that one as well. We delivered one of the Star Trek shows for CBS last year. They were extremely happy with our work. So they have given us these 3 projects as well. 2

have already come in, 1 is yet to come in. So that should be another INR 3 crores to INR 4 crores addition when that comes in. That's going to start maybe August, September of this year.

And we have an active bidding. That means we have sent quotations for around INR 8 crores worth of projects. So if you look at it this way, it's around INR 16 crores plus. I can't say that we have got these INR 8 crores, but there's a good chance we should get most of this.

Anmol Grover: Okay, sir. So I just want to ask 1 more thing. You had given some guidance earlier. I am pretty sure we are not able to meet our goal for FY '26 and FY '27. But is there any way that you can help us understand how are the next 2 years are going to look like from number's perspective, growth perspective, and margins perspective?

Abhishek More: So I will tell you, to be honest, considering the effects of the strike, considering the impeding impact of AI, we are right now being a little more cautious in our numbers. We want to now back track a little. And I think we have realized now more to give a lower number and achieve more. So if you ask me, for FY '26, we are looking at almost, on a very conservative level, we are looking at anywhere between INR 60 to INR 65 crores top line, considering the work that we have right now going on.

I am also happy to let you know that we have done substantial cost optimization in the company in the last 2 months, because once you are pushed against the wall, that is when you start taking innovative and creative measures which don't come to your mind earlier.

So FY '26, even if we are achieving INR 60 crores to INR65 crores, which is what we have in our projection right now, which I believe is conservative and achievable, we are looking at healthy PAT margin of around 20% on that.

Anmol Grover: That's for FY '26 right.

Abhishek More: FY '26, correct.

Anmol Grover: And one more thing, on your balance sheet, sir, our receivables have gone up and our short-term debt has gone up. And I believe last time we spoke, we were looking to do a ratio of INR 25 crores. I believe a board meeting was scheduled for that as well, but that got cancelled in the end. What are your thoughts around that and what exactly is going on there?

Abhishek More: So I am going to correct you on that. Our receivables have actually technically come down on FY '20 H1 numbers. We have actually recovered, if you look at our H1 receivables, they were around at INR 42 crores. We have actually recovered around INR 6 to INR 7 crores of that, because if you see in my receivables and our receivables for H2, our total receivables stand at INR 39 crores, which also includes the new business that has come in. So on a net-net basis, we have actually gone down on receivables.

So like I said, we are taking drastic steps, baby steps now to ensure that we come back on track extremely quickly. That is one.

Number 2 is that it was very easy for us to fool investors in March or in February, raise money from the market, and then announce a loss balance sheet. We had signals already that it's going to be a loss. So we are now looking at Q1, which is already looking healthy. We are going to show profit numbers, then go back to our QIP/Rights issue, because we don't want to fool investors and take money from them. We didn't want to do that, in a hurry, pick up money, it wasn't fair. So that is why we just decided to postpone the fundraise, so that once the company actually after Q1 shows profit numbers, we go in for a Rights/QIP/Pref.

Anmol Grover: So we should see substantial amount of savers coming down from next quarter onwards and our liquidity position improving?

Abhishek More: Yes. Now with the industry streamlining, see because when we are getting work, that means our clients are getting work. We are already seeing clients talking about healthy business, which will impact our lowering of the receivables. So we now see that in the next 4 to 6 months, we should have recovered a majority of our receivables, hopefully. Not majority, but at least a substantial amount.

Anmol Grover: Fair enough, sir. So basically, worst of the scenes are over from the number aspect as well and things are picking up from here on. And..

Abhishek More: The worst is over, that's all I can say. See I will tell you what, I have run this company for 25 years. I have seen COVID. In fact, if you just go back to the history books in India, you can count them on your fingers on the number of animation and VFX companies that have survived for 25 years, probably 5 or 6 out of the 100s that have come up and gone. We have been through these phases. We will never lie about our numbers, because we know we will get out of that. If we have survived for 25 years, we will survive for many, many, many more years. We are doing the right thing, the right way.

Anmol Grover: Right sir. Fair enough.

Moderator: Thank you Anmol may I request you to come back for a follow-up.

Anmol Grover: That's all from my side. Yes, sir. I am going back in the queue. Thank you.

Moderator: Thank you very much. The next question is from the line of Saket Khare from UnitedHealth Group. Please go ahead.

Saket Khare: Sir, you mentioned that this year's guidance would be around INR 60 to INR 65 crores and the current order book will be around INR 16 crores. So, how these 2 numbers would correlate?

Abhishek More: See INR 16 crores order book, see in VFX, a lot of the orders go on for months. Today, when we are working on, let's say, a show like One Piece, if the value of that show is around INR 4 crores, that will go on till August, September, maybe October also, because it's got 8 episodes. We have just got 3 episodes so far out of that, and that's going to go on for some months. Plus, we are sitting right now on, we have just finished 2 months. We are right now got INR 16 crores worth of orders, bidding INR 8 crores, gotten signals from all our clients to start ramping up for delivery. Right now, if you ask me, at an average, we are doing around INR 3.5 crores worth of output that we have. Our goal is that by July, we should be able to take that output capacity to around INR 4.5 to INR 5 crores worth of output.

Saket Khare: Okay. And second question is, you just mentioned that we would be having good numbers in Q1, right. So, going forward, are you going to report numbers quarterly?

Abhishek More: There is a good chance we will be reporting quarterly now, because when the company is getting healthy, it's obviously good to celebrate that.

Saket Khare: Okay. And the last one is that you talk a lot about bankruptcy in last 13 years right. So, I hope that Digikore is on the right path, and we don't have any…

Abhishek More: No, no. Don't worry. Digikore is nowhere near bankruptcy and it is not going to head that way either. We are solid enough, and like I said, the worst is over. People who could survive till February, March, April, they are now going to survive. People who couldn't survive till February, March, April, have declared bankruptcy. Because now with the work coming back you don't declare bankruptcy, you declare bankruptcy when the work is not there.

Saket Khare: Okay. Thank you.

Abhishek More: Yes. Thank you.

Moderator: Thank you. Next question is us from the line of Anil Kumar Sharma, individual investor. Please go ahead.

Anil Kumar: Yes, sir. Sir, my question is, sir, you are in the second half your revenues, our revenue is INR 13 crores and the PBT is INR 13 crores. In the last 40 year career, I have never seen such a company with INR 13 crores, 100% loss. You are saying the others are -- we will not compare with others. But it is not possible that all others who are listed, they are showing bogus results. So, can you clarify on this?

Abhishek More: Yes, Anil ji, for sure I can clarify that also. So, what we had done is, when we were talking about exponential growth in the industry, we also had hired several people in our Canadian operations, which was a heavy expense in terms of our salary costs. And with the business being low, they were yet there in the company, and that is why the loss is there. But what we have done is that we have optimized our salary substantially now. In fact, we have reorganized our entire team to get in more productive people at lower costs. And I am happy to tell you that in your company, we have gotten now from June onwards, our salary bill, as an example, if it was INR 3 crores earlier, it has now come down to INR 2 crores a month with the same output.

So, because of these steps that we have taken in cost optimization of manpower, cost optimization of other overhead costs that we had, and with the industry bouncing back, obviously, this is not going to be a repeat that you just saw.

Anil Kumar: Okay, sir, that is true. You are saying that all others are saying the same thing, we believe that also. But sir, earlier also you were saying on many occasions that company is running at 100% capacity. Please, how we can trust you? That is the major point in all the minds of all the investors. Please, don't give the statements, you have given many statements that we are running at 100% capacity. So, please, clarify that also.

Abhishek More: Yes, I will clarify that.

Anil Kumar: You have to be in the trust of the investors.

Abhishek More: No, no, I will absolutely clarify that. So, that statement was made in February, when we actually achieved. And in February, we were down by 100 people almost, because we had laid off a lot of people at that point already.

So, like I just said, that right we have now between February and today, we have come to a delivery output of around INR 3.5 crores. In February, our delivery output, because of the reduction only that we had, we were in a far reduced delivery output, and that is when we started achieving 100%.

We have never made statements that we have achieved 100% in November, December last year. But only when the work started coming back in February is when we made the statement, which is true, because now we have started getting the work and we are operating at almost now, obviously, it averages out over 4 to 5 months, I can say that we are averaging around 85% to 90% capacity utilization currently.

Anil Kumar: Okay, sir. Sir, we have read in the previous also in detail, that we believe that you have survived in 25 years, that is why we invested. All of the group has invested due to this reason only. But we think this will be the last chance. If you say again, coming in the next half year that we are sorry, the industry was not there, then we will not believe, no investor will believe you, please. Make sure that whatever is the situation, please tell us in detail.

Abhishek More: Sir, even I am an investor, I invest in companies and I truly appreciate, and I completely agree to your thoughts. All I can say is that we were a victim of industry happenings. And we will keep you, and I promise to keep you all more updated on the happenings in the company as we move forward. Because now we also have clarity. And to be honest, almost all of last year, we also didn't have clarity.

We were continuously told that work is coming from our clients, but then that was delayed. But now we see the work coming, we are actually seeing the teams busy. So now we also have clarity. So we can also give out information in a more structured way out to our investors.

Anil Kumar: Okay, thank you, sir. We will wait for you. And please keep us informed, that is very important. And share the true picture, there should be true picture. Thank you.

Abhishek More: Thank you, sir.

Moderator: Thank you very much. Next question is from the line of Shivan, individual investor. Please go ahead.

Shivan: Hi, So we see that the promoters hold 66%, but 38.5% is pledged.

Moderator: Shivan, your audio is not clear.

Shivan: Yes, we see that the promoters hold 66%, but 38.5% is pledged. Do you plan to reduce pledging in FY '26? And if yes, how will that be funded?

Abhishek More: So like I mentioned that in the next 3 to 6 months' time, we are looking at a fresh fundraise via a QIP/Rights/Preferential, and it's going to be around INR 30 crores figure. And we are going to be doing that to reduce debt primarily. So once the debt goes, the pledge gets released automatically.

Shivan: Okay, all right. That's it. Thank you.

Abhishek More: Yes. Thank you.

Moderator: Thank you. Next question is from Burjot, individual investor, please go ahead.

Burjot: Yes, thanks for the opportunity. So in September last year, right, company had given a release to the exchange that there is a 58 episode branded content contract signing with Jio Cinema, right, that's helped the company generate INR 30 crores in revenue by end of FY '25.

Abhishek More: That is correct, that is correct.

Burjot: So what is the number that we actually achieved in FY '25? Because in H2, it had INR 36 crores total revenue. Did we fulfill the INR 30 crore revenue or?

Abhishek More: No, no, no. We haven't achieved, because unfortunately, for us also, and fortunately for Disney, they went into a merger with Hotstar. Sorry, Jio and Hotstar merger, due to which a lot of our shows got delayed. Filming for which was supposed to start in October, November, we filmed right now in between March and April. And obviously, because of that, then our client agreements got delayed because of their merger.

So all that revenue is now in production, majority of it is in production. And some of it we start filming in the next 2 to 3 months' time. At the same time, that has shrinked a little, not from 52 episodes, it will now be around 40 episodes, due to 1 or 2 shows being canceled, because of the delay. But yes, we are looking at around a 40 episode delivery to Jio in this financial year.

Burjot: Can you repeat the last line?

Abhishek More: We are looking at around a 40 episode delivery to Jio in this financial year.

Burjot: Okay. So that revenue is expected to be realized in this year.

Abhishek More: That revenue is there, it's very much there, it just got delayed.

Burjot: And the second question is kind of related to the last participant. So I think more than 2 months back, on 26th March, you had done a con call with Arihant. And there you again spoke about the growth in H2 as well, you talked about the rights issue of INR 25 crore. And it's just been a little more than 2 months, right? It seems like the world has changed in these 2 months for Digikore, right? It's not a long time. It's really kind of disheartening for shareholders to see such disconnect in just a short space.

Abhishek More: So, yes, to be honest, there were a lot of things that got delayed. There were certain things that we expected to happen. I think so we have become more grounded, if I were to answer your question correctly. I think so we are becoming a little more grounded in terms of our expectations. Rather than aiming for the sky, we are now aiming at one step at a time.

Like I just recently said also, we have reduced our top line expectations for FY '26 to INR 65 crores. We have reduced expenses. So I think we are now coming back to taking a little more baby steps to achieve and show the results to the investors, rather than estimate and expect big things to happen. Because we don't see that in the industry itself now. We see the industry is taking 2 steps back. So we also have to take that, to be more realistic.

Burjot: Fair enough. But that's still pretty aggressive growth, right? If we are able to achieve INR 65 crores in revenue in FY '26, I hope you are able to do it. Yes, that would be also great.

Abhishek More: So it's not aggressive, I will tell you why. In FY '24, we did revenues of INR 46 crores. If the strike did not happen, in the normal course of business, we would have grown to INR 60 crores to INR 65 crores in FY '25. So I don't look at INR 35 crores as a base for INR 65 crores, but I am looking at INR 45 crores, INR 46 crores as a base for INR 65 crores, because that was the normal business year. And when we look at a normal business year, this is what we would achieve. And we are now coming back to normalcy in the industry. So our projections are based on a normal business year.

Burjot: Okay. Thanks for clarifying. All the best. Hope you achieve the targets.

Abhishek More: Thank you.

Moderator: Thank you. Next question is from the line of Vinay Kumar, individual investor. Please go ahead.

Vinay Kumar: Sir, good evening. My question is strike happened 18 months to 24 months ago. But H1 top line is much better than H2. Any particular reason for that?

Abhishek More: Yes. So what happens is that, like I said, when the strike happens, there is a writer's strike. I have explained, but will explain it again, no problem. So the strike happened, let me go back to the timeline. The strike happened from April 2023 to November 2023, during which there was no writing of new projects that happened. It obviously starts with writing, and that is the first phase.

But a lot of projects which were towards completion, midway, which were closed during the writer's strike, they immediately came up, right, to get completed. Some of them had 1 episode left or 2 episodes left, some of them had 4 episodes left. So our work pipeline was very healthy till November of '23, because before the strike, a lot of projects had finished filming, they were either in editing, so they came to VFX stage.

Then the project started thinning out, because only projects which were incomplete or partially ready, they came into the VFX stage in the first 6 months of FY '24. But any new project that had to start in early '24, because of their delays in starting, that impacted our H2 numbers. So it is nothing but an effect of the production pipeline that is there in film industry, where VFX, unfortunately, is the last job to be done in a film project.

Vinay Kumar: Sir, do you see any immediate future challenge in carrying our business?

Abhishek More: No, I don't see any immediate future challenge, honestly, Vinay ji. Like I said, the worst is behind us. So, the projects have started flowing in. Yes, but we can't be blind to the threat of AI, like I again keep saying. We should not be blind to that threat.

AI is a threat that can not only disrupt our industry, it can disrupt any industry in as short as 1 year, or it can take 3 years to disrupt it. We are aware of the fact, we are already working on diversifying our revenue, so that we don't get disrupted completely, if and when AI disrupts. But yes, we are aware to that threat.

Vinay Kumar: One more thing, sir. Could I request for monthly revenue updates, sir? At least GST is filed every month. So revenue could be updated to the investor also?

Abhishek More: Correct. We will discuss this. It's a great suggestion. And now that business is back, I think so we can definitely delve on this suggestion. We need to check with our IR agency also on this, on how to go about this. And we will definitely keep the investors updated on a monthly basis.

Vinay Kumar: Okay. Thank you, sir. Thank you.

Abhishek More: At least on project wins, small, small wins that we have. Even if we have small wins, it's good to celebrate those small wins.

Vinay Kumar: Yes, exactly. Thank you. Thank you, sir.

Moderator: Thank you very much. Next question is from the line of Pradeep, individual investor. Please go ahead.

Pradeep: Sir, good afternoon.

Abhishek More: Good afternoon.

Pradeep: So we are really feeling betrayed, basically, with the transparency, which is not there. Let's say in the month of November or December, we were doing some big projections. And based upon that, basically, we went ahead by trusting you guys. And you did not give the update also, basically, in between. No updates came and again and again, the updates keep on coming that iMadeASong basically, we have launched and it is making good.

But when basically, revenue did not realize then you did not give the update, then you keep on giving the positive updates. But the actual picture, basically, no updates came, and then we are basically suddenly got shocked.

Abhishek More: So Pradeep ji, I completely agree with you. And I can't say anything more. But all I can say is that the last year has been a little difficult for us…

Pradeep: I am not saying about this. I am saying just the transparency.

Abhishek More: I completely agree with you. Yes. I am coming to that only. So as an example, on the VFX side, when we got information from our client that, okay, the work is coming, we are getting back, we are giving this order to you. We used to also feel that, okay, positive things are happening, so we used to update.

But I think so now, like I just mentioned some time back also, that we are going to be a little more grounded in our updates. We are going to ensure that that thing has happened and then give an update, rather than on industry information given.

Pradeep: I think, Abhishek ji, still you are not getting the point. It's about transparency. Whatever the positive happening, negative happening, basically, the company has to be transparent.

Abhishek More: I completely agree with you, Pradeep ji. It's not that we have done that intentionally. Nothing has been done intentionally in the first place. I think so we just need to be a little more cautious, a little more informed in our information that we provide to our investors. But yes, going forward, you will definitely, I can assure you that you will see a little more transparency. Your point has been taken. Even Vinay ji just now said about monthly, giving some information on a monthly basis on what's happened in the company in the last month. And we will definitely do our best to achieve that level of transparency.

Pradeep: For example, 30 episodes, 2 episodes basically got cancelled. We are just cancelled or delayed. We are just getting the update. But you were having updates, 6 months back also. So it is really disappointing that those updates are not given, these things had been delayed.

Abhishek More: I take your point, Pradeep ji. I completely take your point, and you will definitely see a huge difference moving forward in our updates.

Pradeep: Sure. Thank you. Whatever the positive or negative, both the cases.

Abhishek More: Both the cases.

Pradeep: And another thing is that the consolidated revenue and the standard-alone revenue, there is not much difference. So our foreign business did not generate any revenue?

Abhishek More: So what we are seeing is that a lot of the clients, which is our international clients, so the Canadian subsidiary was really set up to take advantage of the Canadian rebates that are being offered by the Canada government. When there are no rebates offered in a project, we prefer taking their project directly into the India entity rather than route it through Canada.

Because then we are just increasing revenue there also, and for the heck of it, just to route their project through Canada. We are actively working on chasing some projects which involve the rebates by the Canada government. And those projects will then be routed through or built through the Canadian entity. But as far as possible, any project that does not require a rebate, we are taking the invoicing and billing directly to the India entity.

Pradeep: Okay. And what is the reason that, let's say out of the other VFX companies, our companies only got bad hit so much?

Abhishek More: Pradeep ji, that's why I say, so when we are doing a sample size also now, when we are doing sampling or something, we don't sample 2 or 3. I would really suggest to see the status of…

Pradeep: No, we are seeing only 3 or 4 public companies only, yes. Definitely.

Abhishek More: So that is what. Public companies, I cannot comment on how come they have profits, because as far as I can see and as far as I have been in the industry for 15 years, the connections that we have, the industry knowledge that we have, when there was no work, there was no work. It's not that there was work and we didn't get it. We are today one of the oldest VFX studios in India, with some of the deepest relations with people. And it's also surprising that at one end the companies are closing down, at one end companies are making huge profits, which I can't understand, but I wouldn't like to comment on their operations for sure.

Pradeep: So the INR 65 crore number is on the conservative side or?

Abhishek More: I would like to believe it's on the conservative side as of now, because that is something we are seeing based on our existing pipeline of work that we have already started receiving.

Pradeep: Okay. And you gave the update that there was INR 58 crore.

Moderator: Mr. Pradeep, can I request you to come back for a follow-up please?

Pradeep: Just last question. So the INR 58 crore pipeline, basically you said that in the month of December it was there, the order pipeline. So that got closed or what happened to that?

Abhishek More: We never said we have INR 58 crore order pipeline. We said there are projects that are coming up for that much in the bidding pipeline. We never said that we have that as confirmed orders. We said that much worth of projects, right now that we are closing. So as an example, the projects that we are chasing, that has value of VFX worth that much.

Moderator: Thank you, Pradeep. I will request to come back for a follow-up question. Next question is from Manish Sharma from Uppercircuit Investment. Please go ahead.

Manish Sharma: Hello, Abhishek ji. Actually, most of my query is related to business have been answered. I just have 1 question, which is a little off business, but I just wanted to check with you. So actually, I was reading your Twitter handle. So are you active on Twitter, first of all?

Abhishek More: I am trying to get active now.

Manish Sharma: Okay. So there's a post.

Abhishek More: I am more active on LinkedIn, but now I am trying to get more active on Twitter. But Yes, LinkedIn, I am very, very active.

Manish Sharma: Sir, if I can just check that _abhishekmore2 is your account, right?

Abhishek More: Good question. I need to check my Twitter handle.

Manish Sharma: Yes. So actually, there is a post which has been put under your account. So I just wanted to check if you have only put that post. Just wanted to check that.

Abhishek More: What post is that?

Manish Sharma: So that post is a little bit related to our markets only. So it's kind of a weird post for a promoter to put. Just wanted to check that only.

Abhishek More: I don't know what post you are talking about, because I haven't posted recently.

Manish Sharma: So it's a post which was posted on 31st March, 2025. So if you want, I can just read it out. So the post says that...

Abhishek More: In volatile markets, patience is your best...

Manish Sharma: Yes, Yes, Yes. So I just wanted to check that if you only posted.

Abhishek More: Yes, Yes. Yes. When I said I am trying to get on Twitter, somebody said you need to become a thought leader. So I tried this, but I think so this angle is not a good angle for me to spend any time on.

Manish Sharma: Please, please, sir. Please. That doesn't actually, you know...

Abhishek More: So that is why you thought there's no more posts.

Manish Sharma: I have already replied on that post also, just to check that if this is a real account or not. But it is very weird for a promoter to be a market guy, and just guide on...

Abhishek More: No, no, no. I am not. I don't plan to be a market guy. I think that was more driven by somebody…

Manish Sharma: But it looks very, very weird, sir.

Abhishek More: That's why you see, after that day, there is no post on... So, I also felt this is not me. This is not me. I can't be sitting and doing this for sure.

Manish Sharma: Yes, yes. You should definitely not, sir. Thank you.

Abhishek More: Yes, yes. That's why you don't see any post message from my side.

Manish Sharma: Only this from my side. Thank you.

Abhishek More: Thank you.

Manish Sharma: Thank you.

Moderator: Thank you very much. Next question is from Vidhan Sarda, individual investor. Please go ahead.

Vidhan Sarda: Good afternoon. Yes. Just all of my questions have been answered already. Just an update on VP Sets.

Abhishek More: So VP sets, right now, it's a very good question. Recently, we are in talks to partner with, so again, I am not going to give any numbers on this, because right now, it's in talk stage. We were approached by Unreal Engine, who are the makers of the software which creates these. They really like the VP Set that we created. So they have a platform of their own called fab.com. You can check it out. That is the largest marketplace for Unreal Engine assets.

So right now, we are in conversation with them to list all our assets on their platform. For the time being, they have asked us till the conversation gets over to halt any sales through VP Sets, because that would be a conflict. So we are right now in, I would say, talking phase. But if that happens, that would be a much bigger opportunity in the long run, than VP Sets as a standalone platform. The assets we already own, we have already created. And we do believe as a company, we will be able to monetize them better through Unreal Engine's platform, which is called fab.com.

Vidhan Sarda: Okay. Understood. Yes. Thank you.

Abhishek More: Yes. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Ms. Chandni Chande for closing comments.

Chandni Chande: Yes. Thank you, everyone, for joining the conference call of Digikore Studios Limited. Further, if you have any queries, you can write to us at research@kirinadvisors.com. Once again, thank you for joining the call.

Abhishek More: Chandni, can I just close?

Chandni Chande: Yes, sir. Please.

Abhishek More: Right. So thank you once again, everyone, for joining the call, and for your faith in the company. Please be assured that whatever has happened is not something which is errors from the company side, but an industry event. We are experienced enough, mature enough as a company who is, like I keep saying, 25 years in the industry, to take corrective action, which we have already started taking. We are seeing a good inflow of work.

I have taken some points, which are very valid points from Anil ji, Vinay ji, Pradeep ji on informing investors more regularly, try to be more particular and transparent, whether it's good news or bad news. We take these points, and we will do our best to show you good numbers in the months and quarters to come. Thank you, everyone.

Chandni Chande: Thank you.

Moderator: Thank you very much. On behalf of Kirin Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.